INTRODUCTION

Research has demonstrated that when people face complex decisions, they often rely on basic judgments and preferences to simplify the situation rather than acting completely rationally. Although such approaches are quick and intuitively appealing, they may lead to suboptimal outcomes. In contrast to this body of research, traditional economic and financial theory generally assumes that individuals act rationally by considering all available information in the decision-making process, leading them to optimal outcomes and supporting the efficiency of markets. Behavioral finance challenges these assumptions by incorporating research on how individuals and markets actually behave. In this reading, we explore a foundational concept of behavioral finance: behavioral biases. Investment professionals may be able to improve economic outcomes by understanding these biases, recognizing them in themselves and others, and learning strategies to mitigate them.

The reading proceeds as follows. Section 2 describes and broadly characterizes behavioral biases. Sections 3 and 4 discuss specific behavioral biases within two broad categories: cognitive errors and emotional biases. The discussion includes a description of each bias, potential consequences, and guidance on detecting and mitigating the effects of the bias. Section 5 discusses market anomalies, which are essentially aggregate expressions of individual biases among financial market participants. A summary and practice problems conclude the reading.

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